Defense

$35bn defense cooperation with UAE kicks off

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Company	Rating	TP (won)
Hanwha Aerospace	BUY (M)	1,480,000 (M)
LIG Defense&Aerospace	BUY (M)	1,050,000 (M)
Hanwha Systems	BUY (M)	136,000 (M)

Hanwha Systems and UAE state-owned defense group to build integrated air defense network

Hanwha Systems and the UAE's EDGE Group have signed a term sheet outlining key conditions for the development of an integrated air defense system. Although the details have not been disclosed, the agreement is understood to specify areas of cooperation related to the UAE's integrated air defense requirements, including the potential procurement of Korea's long-range surface-to-air missile system (L-SAM), additional medium-range surface-to-air missile systems (Cheongung-II), and the Chunmoo multiple-launch rocket system. The two companies plan to continue discussing cooperation on local production and business operations, including the potential establishment of a JV. EDGE Group is a state-owned defense conglomerate established by the UAE government in 2019 by consolidating more than 35 state-owned and private defense and technology companies. It is considered to have substantial political and diplomatic influence as well as an extensive sales network across the MENA region.

Starting point for $35bn in defense cooperation

The UAE's $35bn defense cooperation initiative, which had seen little progress since its announcement early this year amid the war with Iran, appears to be resuming. Although the KF-21 was initially expected to serve as the starting point for cooperation, we believe the priority of air defense networks has risen in light of recent developments in modern warfare. Previous air defense exports to the UAE were expected to cover medium-to-high- and high-altitude defense. Under the latest agreement, the scope of cooperation appears to be expanding to include counter-unmanned aircraft systems (C-UAS), the integration of command-and-control systems and sensor networks such as radar networks, counterstrike capabilities, and medium- to long-term MRO services. Hanwha Systems CEO Yang Ki-won said the project would elevate the relationship between the two countries beyond one-off defense exports to a partnership encompassing the broader defense industry.

UAE cooperation to benefit from strong policy support

The latest cooperation is expected to receive strong policy support. EDGE Group CEO Hamad Al Marar stated that the partnership is intended to go beyond the procurement of individual weapons systems, with a focus on strengthening the UAE's indigenous air defense capabilities and expanding its domestic industrial base.

In March 2021, the UAE announced "Operation 300bn," a ten-year national industrial strategy aimed at diversifying the economy and fostering manufacturing. The strategy seeks to increase the industrial sector's contribution to GDP from AED133bn in 2021 to AED300bn (approximately $82bn) by 2031. The UAE has designated manufacturing, infrastructure, IT, healthcare, and food as priority industries and plans to create 25,000 jobs.

K-defense's enhanced standing warrants long-term approach

We expect not only Hanwha Systems, the direct contracting party, but also LIG D&A and Hanwha Aerospace, which are involved in the L-SAM, Cheongung-II, and Chunmoo systems, to benefit. Positive developments continue across the K-defense industry, including K9 opportunities in the US and Spain and potential L-SAM exports to Europe. However, such developments have tended to have only a short-lived impact on share prices. We attribute this to the longer lead times to mass production as project scopes expand. Nevertheless, the widening scope of these projects reflects the enhanced standing of the Korean defense industry. We recommend approaching the sector from the perspective of multiple expansion driven by medium- to long-term growth potential, rather than focusing solely on near-term EPS.

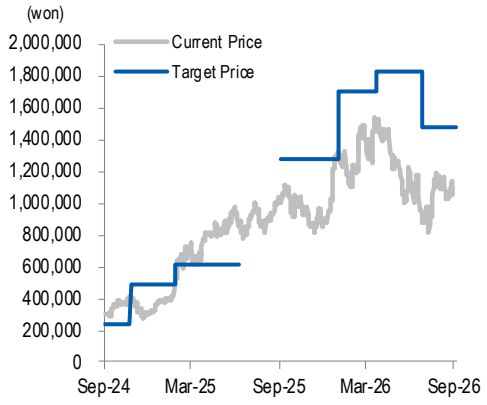
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Hanwha Systems signs a term sheet with EDGE Group



Source: Hanwha Systems, Yuanta Securities

Hanwha Aerospace (012450 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/18	BUY	1,480,000	1 yr		
2026/07/14	BUY	1,480,000	1 yr		
2026/04/09	BUY	1,820,000	1 yr	-32.75	-15.93
2026/01/20	BUY	1,700,000	1 yr	-22.56	-9.59
2025/09/22	BUY	1,280,000	1 yr	-23.31	3.91
	Analyst changed				
2025/02/14	BUY	610,517	1 yr	26.16	58.88
2024/11/12	BUY	492,353	1 yr	-26.89	4.00
2024/03/06	BUY	239,385	1 yr	12.49	71.12

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

LIG Defense & Aerospace (07955 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/18	BUY	1,050,000	1 yr		
2026/07/14	BUY	1,050,000	1 yr		
2026/01/20	BUY	690,000	1 yr	7.75	47.83
2025/09/22	BUY	592,000	1 yr	-24.25	-3.72
	Analyst changed				
2024/11/12	BUY	340,000	1 yr	-11.50	85.29
2024/03/06	BUY	184,000	1 yr	7.01	46.20

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Hanwha Systems (272210 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/18	BUY	136,000	1 yr		
2026/07/14	BUY	136,000	1 yr		
2026/05/06	BUY	169,000	1 yr	-44.80	-30.95
	Analyst changed				
2024/11/11	BUY	28,000	1 yr	23.85	145.00
2024/03/06	BUY	20,000	1 yr	-7.43	16.00

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Appendix: Important disclosures

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- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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